

1946 but a decline in happiness over the 1960s. This paradox sparked research into the link between economics and well-being.

Ernst Engel (1821–1896)

In 1885, German statistician Ernst Engel set out the “elasticity” of demand, showing how changes in income alter the level of demand. “Engel’s law” showed that as people grow richer, they increase their spending on basic necessities—such as food—by less than their rise in income, but their spending on luxuries—such as vacations—grows at least as quickly as the rise in income.

Eugene Fama (1939–)

A third-generation Italian-American, Eugene Fama was the first in his family to go to college. In the 1960s, he showed that stock market price movements are impossible to predict in the short term, and that prices respond to new information almost instantly, which makes the market efficient. As the father of “efficient-markets theory,” he won the Nobel Prize for Economics in 2013.

Milton Friedman (1912–2006)

Ragnar Frisch (1895–1973)

Born in Norway, Ragnar Frisch originally trained as a goldsmith.

A pioneer in the use of mathematics and statistics in economics, he coined the terms “econometrics,” “microeconomics,” and “macroeconomics.” In 1932, he founded the Oslo Institute of Economics, and in 1969 he became the first recipient of the Nobel Prize for Economic Sciences, with his colleague Jan Tinbergen.

John Kenneth Galbraith (1908–2006)

John Kenneth Galbraith studied economics in Canada and the US. While teaching at the University of Cambridge, UK, he was greatly influenced by [John Maynard Keynes](#). During World War II, he was deputy head of the US Government Office of Price Administration, but his support for permanent price controls led to his resignation. He worked as a journalist, academic, and economic adviser to President John F. Kennedy and gained a popular readership in 1958 with his book *The Affluent Society*.

Robert Giffen (1837–1910)

Giffen goods, commodities for which demand rises as prices rise, are named after Scottish financial journalist, statistician, and economist Sir Robert Giffen. The original [Giffen](#) good was bread, the staple of the poorest of British society in the 19th century. As the price of bread rose, the poor—who couldn’t afford meat—spent more of their income on bread to survive. Demand increased because they had even less money for other food.

Friedrich Hayek (1899–1992)